

TABLE 3
REVISED FUNDING FOR SEMICONDUCTOR INVESTMENTS

Category of Allotment	Actual 2023-24 (₹ billion)	Budget 2024-25 (₹ billion)	Revised 2024-25 (₹ billion)	Budget 2025-26 (₹ billion)	Change (%)
Modified scheme for setting up of compound semiconductors/silicon photonics/sensors fab/discrete semiconductors fab and semiconductor assembly, testing, marking and packaging (ATMP)/outsourced semiconductor assembly and test (OSAT) facilities in India	6.44	42.03	25	39	56
Modified scheme for setting up of semiconductor fabs in India	—	15	12	24.99	108.25
Modified scheme for setting up of display fabs in India	—	1	0.0001	0.0004	300
Modernisation of semiconductor laboratory, Mohali	0.06	9	0.11	4	3536.36
Design linked incentive scheme	0.3	2	1.05	2	90.48
Total - Modified programme for development of semiconductors and display manufacturing ecosystem in India	6.81	69.03	38.16	70	83.43

TABLE 4
THE INCREASED PLI ALLOTMENTS

Category of Allotment	Actual 2023-24 (₹ billion)	Budget 2024-25 (₹ billion)	Revised 2024-25 (₹ billion)	Budget 2025-26 (₹ billion)	Change (%)
PLI for large scale electronics manufacturing	42.3	61.25	57.47	88.85	54.6
PLI for IT hardware	0.54	0.75	0.3	1.15	283.33
Total	42.84	62	57.77	90	55.79

India will be a global toy hub

Sitharaman revealed plans to establish India as a global hub for toy manufacturing, expanding on the 'National Action Plan for Toys.' The initiative aims to develop manufacturing clusters, enhance skills, and create a sustainable ecosystem for producing high-quality, innovative toys under the 'Made-in-India' brand.

Following the Budget, on February 6th, MeitY's Centre for Development of Advanced Computing (CDAC) partnered with global toy leader LEGO to upskill young engineers in a year-long R&D programme focused on electronic toys.

Skill development for school students

The Finance Minister announced the creation of 50,000 Atal Tinkering Labs (ATLs) in government schools over the next five years, designed to

foster curiosity, innovation, and a scientific mindset among students. These labs will offer hands-on learning in STEM subjects, featuring tools for robotics, electronics, and 3D printing.

The Budget also includes plans to expand broadband connectivity to all government secondary schools and primary health centres in rural areas through the Bharatnet project.

Post-session

Ahead of the Union Budget, the Indian electronics and semiconductor industry eagerly awaited proposals to boost innovation, R&D, and exports. Many industry veterans called for tax relief for R&D, an extended design-linked incentive scheme, export incentives, and increased support for MSMEs. Leaders also pushed for greater funding for semiconductor manufacturing and tax benefits for

fabrication plants.

Post-Budget, concerns were raised about the BCD reduction.

"The recent reduction in customs duties to zero on open cells and component manufacturing, applicable only to bonded manufacturing plants, creates an uneven playing field for TV manufacturers without access to such facilities. This policy is not welcomed by the broader TV manufacturing industry. For true growth, these benefits should be extended more equitably across the sector," says Avneet Singh Marwah, CEO of Super Plastics Private Limited.

In contrast, Bharath Aitha, Vice President of Marketing at eInfo-chips of Arrow Electronics, praises the Budget as a "forward-looking blueprint," noting that the ₹200 billion allocation for private sector-driven R&D and the proposed Deep Tech Fund would significantly benefit the semiconductor ecosystem.

Only time will reveal how these measures are implemented, and whether they will effectively drive the growth of India's electronics sector. **EFY**

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